COHR — Watch / defer; do not initiate at the reference price

Analyst: Nicolas Cerioni. Recommendation and operating thesis reviewed during final preparation; risk emphasis updated October 19, 2026.

User: Buy-side investment committee; fund holds no position. **Security:** NYSE: COHR common stock. **Valuation / information cutoff:** September 15, 2026. **Decision horizon:** 3–5 years. USD; actual common-share basis. Prepared October 19 using dated historical evidence; no later operating event is used to support the September 15 thesis.

Committee ask. Keep COHR on watch and authorize no initiation at the saved **$271.17** reference price. Passing causal DCF cases span **$45–$154/share**, with a base diagnostic near **$76**. Single-peer references span roughly **$90–$164** across different definitions; they corroborate valuation risk but are not averaged into the DCF. These are conditional estimates, not a confidence interval or a short recommendation.

Principal risks — why the fund should wait.

Capacity spending may not earn its expected return. The thesis depends on continued AI-infrastructure investment generating orders and sufficient utilization of COHR's expanded capacity. If that spending cycle slows after COHR commits capital, excess capacity and inventory can depress manufacturing margins and cash returns while debt obligations remain. Strong industry growth does not guarantee that COHR's individual projects pay off; refinancing, asset sales or dilution could become necessary.

Cash generation currently provides little cushion. FY2026 operating cash flow was positive but only **$79.514m**, about **1.1% of $7.118bn revenue**. Cash PP&E capex of **$1,102.909m** left **negative $1,023.395m simple FCF**. This is CFO less PP&E capex, not FCFF. Growth investment may explain the cash use, but its eventual payoff must be demonstrated rather than assumed.

Concentration can increase customer negotiating leverage. Two customers accounted for **20% and 12% of revenue — 32% combined**; their names are not given in that disclosure. **Datacenter & Communications contributed about 74.1%**, including non-AI applications; an AI-only revenue percentage is not established. Losing orders, adverse pricing or payment terms, or a broad infrastructure slowdown could therefore impair both demand and returns on specialized capacity. Concentration creates potential bargaining leverage; the filing does not establish the customers' actual pricing power or contract protections.

Evidence: FY2026 filing, consolidated statements and segment/customer disclosures. Core EBIT of $901.522m removes separately identified restructuring, held-for-sale impairment and the business-sale gain from reported operating EBIT of $897.861m. Ordinary D&A and SBC remain expenses; removing restructuring does not prove it never recurs.

Operating assumptions owned by the analyst. Nicolas reaffirmed revenue growth of 35/25/18/12/8%, gross margin of 39/40/41/41.5/42%, and cash PP&E capex of 14/12/10/8/7% of revenue. The story is an initial capacity-supported acceleration, then growth moderation and improved manufacturing efficiency. Dollar capex remains approximately $1.2–$1.4bn annually. Capacity utilization and order conversion must support the falling investment intensity; AGI and AI-driven labor savings are unquantified upside hypotheses.

Case	Causal operating / valuation conditions	Value/share
Low	Growth –5 pp; margin –2 pp; capex –1 pp; WACC 13%; g 2%	$45
Base	Supported operating paths; WACC 11.8%; g 3%	$76
High	Growth +5 pp; margin +2 pp; capex –0.5 pp; inventory –15 days; WACC 10%; g 3.5%	$154

What carries value. WACC is calculated near 11.79%, rounded to 11.8%: nominal 10-year Treasury 5.00% (Sep 15), implied ERP 4.14% (Sep 1), judgment beta 1.75, debt cost 5.5%, tax 20%, and dated capital weights. Nicolas supports above-market risk because concentrated demand and capacity investment can amplify losses and refinancing/dilution needs; this does not measure beta at exactly 1.75. Terminal PV is **87.4% of EV**. Terminal reinvestment switches to g times

closing operating capital; alternative terminal returns of 8/12/16% produce base-forecast values near $56/$68/$73. At fixed explicit cash flows, WACC, g and bridge, the market price requires terminal FCFF about **3.6×** the modeled terminal amount. That is one implied condition, not proof of market error. Treasury; ERP.

Why methods differ. FN is the only usable verified business-policy peer with positive reported P/E: optical contract manufacturing differs from COHR's owned products, R&D and margins. References are approximately $90 from EV/sales, $118 from reported P/E, and $164 from reported EV/EBITDA. Higher COHR EBITDA margin makes the EBITDA reference exceed the sales reference; historical P/E is affected by unusual earnings and share-basis changes. No mechanical average or transaction multiple is adopted. FN filing.

Limits and reversal conditions. June cash/debt/NCI and August actual shares proxy September balances; diluted EPS shares are not substituted for current shares. The bridge retains $300m operating cash, excludes restricted cash, and deducts gross debt, finance leases, $49m pension deficits and NCI. The first cash flow is a remaining-year stub. Debt-note maturity conflicts, springing covenants and intrayear liquidity limit the annual funding model. The separately constrained August subsidiary facility is excluded. A sticky-capex downside fails model funding checks; the low case needs investment restraint. Monitor quarterly GAAP margin, inventory conversion, capex/utilization, customer concentration and a reconciled refinancing schedule. Reconsider initiation after two consecutive reporting dates show improving trailing-year CFO less PP&E capex, supported by capacity utilization and a refreshed valuation offering at least a 25% margin of safety; a lower price alone is insufficient. Withdraw the watch thesis if orders, margins or funding deteriorate; revise upward if durable orders and cash returns demonstrably support higher value.

AI and validation: OpenAI Codex assisted research checks, integration and drafting. Nicolas reviewed the memo and requested the risk emphasis above. The complete disclosure, original-record qualifications and material checks are in **Validation-and-AI-Use.pdf** / docs/validation-and-ai-use.md.